FUND GOVERNANCE · ASSET VERIFICATION · CASE STUDY

The Credit Suisse Greensill Case: When the Story Was More Confident Than the Records

A supply chain finance fund can look like disciplined trade credit at the portfolio level and still be unverifiable at the claim level. This is a study in what happens when a manager cannot independently prove what a fund actually owns.

ALPINE **LEARNING CENTER** ASSET VERIFICATION · ORIGINATOR RISK · INSURANCE DILIGENCE

In March 2021, the boards of four Credit Suisse supply chain finance funds first suspended subscriptions and redemptions, then terminated the funds and placed them into liquidation. For investors who had accepted the products as controlled exposure to short dated receivables, the event changed the central question. Yield became secondary. Investors needed to know what the funds legally owned, which debtors owed each amount, whether the claims were enforceable, which assets were insured, and when recoveries could be distributed. (2)

The scale made those questions material. FINMA reported that clients had invested about USD 10 billion and that the client documentation presented the funds as low risk. Yet Credit Suisse had limited knowledge and control over the specific claims. Greensill selected and reviewed the assets, securitised them, and arranged the insurance in its own name. (1)

The due diligence failure was therefore specific: Credit Suisse could not independently establish asset existence, eligibility, enforceability, debtor concentration, maturity, or insurance coverage at the claim level. Some positions represented future receivables for which no invoice or contractually due buyer obligation yet existed. A defensible control framework would have reconciled every sampled fund position to an underlying claim, confirmed the ultimate debtor and payment terms, tested concentration and eligibility limits, and matched the claim to effective insurance without using Greensill's own representation as the primary evidence. (1) (3)

SCALE OF THE EXPOSURE · AT LIQUIDATION

What ten billion dollars of investor exposure looked like

$10B	4	2017	Mar'21
Approximate client investment when the four funds entered liquidation, per FINMA. (1)	Supply chain finance funds launched with Greensill, plus four related funds frozen in the same asset management unit.	Year Credit Suisse launched the first fund with Greensill, per FINMA findings.	In March 2021, dealing was suspended, then the four funds were terminated and placed into liquidation. (2)
INVESTOR EXPOSURE	FUND STRUCTURES	ORIGIN	LIQUIDATION

Sources: FINMA findings (1); Credit Suisse 2021 Annual Report (2); Reuters reporting on related fund suspensions (4).

The Story Investors Were Sold

The appeal of the funds was easy to understand. Supply chain finance sounds practical, familiar, and low drama. A supplier wants to be paid early. A finance provider pays the supplier at a discount. The buyer later pays the finance provider. When the underlying buyer is strong, the exposure can look safer than ordinary corporate credit because repayment is tied to a specific commercial obligation rather than a broad promise to repay debt.

Credit Suisse offered the funds to qualified investors through its asset management business. The products appeared to combine a conservative financial concept with the credibility of a global bank platform. FINMA later said the client documentation indicated low risk. The story worked because several pieces seemed to fit together: receivables were supposed to be identifiable, repayment was supposed to arrive within a short period, and insurance was supposed to protect most claims against buyer default. (1)

Those assumptions mattered because each one required proof. A receivable becomes lower risk only when a reviewer can trace it to a real buyer, a real obligation, a real maturity date, and a real payment history. The fund story depended on that traceability. Once traceability weakened, the same product could become much closer to concentrated corporate lending.

How Supply Chain Finance Normally Works

The clean version of supply chain finance is straightforward. A supplier sells goods or services to a buyer and issues an invoice. Instead of waiting for the buyer to pay later, the supplier receives early payment from a finance provider. The finance provider later collects the full invoice amount from the buyer. The United Kingdom Treasury Committee cited this basic Bank of England description in its investigation of Greensill. (3)

A reviewer can test the clean version with three questions. Does an invoice connect the financing to goods or services already delivered. Does a buyer owe a fixed amount on a defined date. Does the payment history support the expectation that the buyer will pay. When the answer to each question is supported by documents from more than one source, the asset has an observable commercial base.

This is why claim level review matters. A fund holding thousands of trade claims does not own a single abstract exposure. It owns thousands of small credit exposures. Each one has an obligor, amount, maturity, supporting document set, eligibility status, and coverage status. Fund level reporting can summarize the portfolio, but it cannot replace review of the assets that make up the portfolio.

How Greensill Changed the Product

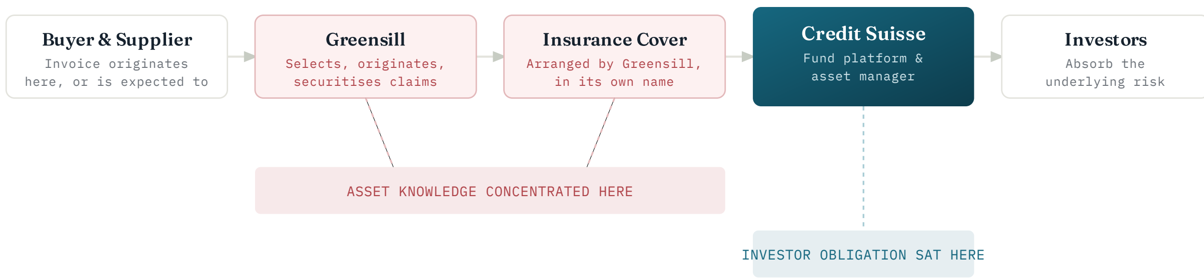
Greensill took a traditionally bank balance sheet product and moved it into the capital markets. The Treasury Committee described Greensill as funding its operations mainly from outside investors. The Bank of England described the model as complex and said it had nonstandard features. The key change was that exposure moved away from a bank retaining and monitoring its own credit book, and toward investors funding receivables through fund structures and securitised claims. (3)

That change altered the due diligence burden. In a classic bank model, the lender that originates the exposure keeps the exposure on its own balance sheet and has a direct incentive to monitor credit quality. In the Greensill model, fund investors absorbed the risk while Greensill acted as originator and servicer. Credit Suisse then sat between Greensill and investors as fund platform and asset manager.

The arrangement created a long dependency chain. Greensill had to originate valid claims. The claims had to be securitised and transferred into fund holdings. Insurance had to apply to the claims investors were relying on. Credit Suisse had to understand and monitor the assets. Debtors had to pay. If one link failed, the investor's position changed. If several links were opaque, the investor could not know where the real risk sat. (1) (3)

STRUCTURE · THE DEPENDENCY CHAIN

Five links, each one a point where verification could fail



A fund manager can use an outside originator, but outsourcing origination does not outsource responsibility for verification.

The Structure Credit Suisse Built

FINMA said Credit Suisse launched the first of four supply chain finance funds with Greensill in 2017. Greensill acted as the financing company, securitised the claims, and transferred securities to the Credit Suisse funds. Insurance cover was expected to secure most claims against buyer default. (1)

Credit Suisse occupied two roles at once. It provided the fund platform and it acted as asset manager. Greensill controlled the asset pipeline. Claims were selected, reviewed, and originated by Greensill before they reached the funds. Credit Suisse then held exposure to those claims inside its fund structure and distributed fund shares to investors.

That division of labor placed investor obligations on Credit Suisse while leaving much of the asset knowledge with Greensill. A fund manager can use an outside originator, but outsourcing origination does not outsource responsibility for verification. The manager still needs direct evidence that the assets fit the fund description, meet eligibility criteria, and remain consistent with the risk profile sold to investors.

Where Visibility Broke Down

FINMA found that Credit Suisse's asset management company had little knowledge and control over the specific claims. Greensill selected and reviewed them. Credit Suisse also left Greensill to arrange insurance cover in its own name. In due diligence terms, the party creating the exposure also supplied much of the evidence used to explain the exposure. (1)

That is a structural weakness. When the same party controls the assets and the story about the assets, independent verification becomes essential. Credit Suisse needed direct access to invoice files, buyer confirmations, payment records, eligibility files, insurance records, and exception logs. It also needed the ability to test samples without relying on Greensill to frame what the samples meant.

The issue was source quality. A receivables fund can look clear at the portfolio level while remaining obscure at the claim level. The fund might report industries, maturities, aggregate exposure, or insurance percentages. Those summaries matter, but they do not prove that a specific claim exists, that a buyer has accepted it, or that insurance would respond if the buyer failed to pay.

Future Receivables Changed the Risk

The case became more serious because some claims were not ordinary current receivables. FINMA said Greensill transferred future claims to the funds in some cases. These were claims that had not yet arisen. They reflected expectations about possible future business rather than documented present obligations. FINMA also said this allowed Greensill to finance companies whose creditworthiness was doubtful. (1) (3)

A current receivable begins with a transaction that already happened. Goods were delivered or services were performed. An invoice was issued. A buyer owes a specific amount by a specific date. A future receivable starts somewhere else. It depends on the expectation that future commerce will happen, that buyers will appear, that invoices will later be created, and that future payment obligations will resemble the assumptions made today.

That difference changes everything a reviewer should test. The reviewer cannot confirm an invoice that has not been issued. The reviewer has to assess contracts, expected business volume, counterparty relationships, borrower liquidity, and the consequences if the future sales do not occur. A fund described around low risk receivables needed clear disclosure of how much exposure depended on present obligations and how much depended on future business expectations.

ASSET VERIFICATION · THE DISTINCTION THAT MATTERED

Current receivable versus future receivable

Current receivable	Future receivable
Goods or services already delivered	Expected future business, not yet transacted
Invoice already issued	No invoice exists yet to confirm
Buyer owes a fixed amount, fixed date	Obligation assumed, not documented
Verifiable via invoice, buyer, payment history	Verifiable only via forecasts and assumptions
Observable commercial base	**Financing companies of doubtful creditworthiness**

FINMA said Greensill transferred future claims to the funds in some cases, allowing it to finance companies whose creditworthiness was doubtful. (1)

Insurance Became Comfort Instead of Proof

Insurance was another part of the story that looked reassuring from a distance. FINMA said the structure expected insurance cover to secure most claims against buyer default. It also said Credit Suisse relied on insurance cover organised by Greensill and did not have enough knowledge or control over how many claims were contractually owed. (1)

Insurance reduces risk only when coverage can be matched to assets. A fund manager needs the policy terms, covered obligors, exclusions, concentration limits, renewal conditions, cancellation rights, insurer credit quality, and claim history. It also needs to know whether the specific claims inside the fund are within coverage at the time the fund relies on that coverage.

At Credit Suisse Greensill, Greensill arranged the insurance in its own name. That created another dependence on the originator. If the originator summarises coverage, the manager may know the comforting conclusion without having the records that prove it. Due diligence should treat insurance as a document set to be tested, not as a label attached to the portfolio.

Debtor Exposure Told a Different Story

FINMA said Credit Suisse made partly false and overly positive statements to FINMA about the claims selection process and the funds' exposure to certain debtors. This matters because the apparent diversity of receivables can hide concentrated credit risk. A fund can hold many claims and still depend heavily on a small number of ultimate debtors or related corporate groups. (1)

Debtor concentration analysis asks who ultimately owes the money. It looks through suppliers, invoices, and securities to the parties responsible for payment. The review should map debtor concentration, connected company exposure, maturity profile, industry concentration, related party exposure, and reliance on specific corporate groups.

If many claims point back to weak or connected debtors, the fund behaves less like diversified trade finance and more like concentrated credit. That changes expected loss, recovery timing, and investor liquidity. Credit Suisse needed a reliable and current map of debtor exposure across the funds. Without that map, the risk profile could not be described with confidence.

Warnings That Should Have Forced a Review

The warning record was extensive. FINMA said that a 2018 fund closure at another provider prompted enquiries at Credit Suisse. Media representatives and FINMA repeatedly raised concerns. A Credit Suisse risk manager later identified risks in Greensill's business model and recommended against a bridge loan, but a senior manager overruled the recommendation. These events should have triggered an independent, documented review of the funds, the originator, and the related credit exposure before liquidation became necessary. (1)

CHRONOLOGY · WARNINGS RECEIVED, NO HOLISTIC REVIEW

Each signal required independent, documented escalation

2017 **First Credit Suisse fund launches**

The first of four supply chain finance funds is launched with Greensill as originator and structurer. (1)

2018 **External fund closure prompts enquiries**

FINMA later said a fund closure at another Greensill provider prompted questions inside Credit Suisse. (1)

2018 to 2021 **Media and FINMA repeatedly raise concerns**

Critical questions reached senior governance bodies, yet FINMA found no holistic and independent review. (1)

Before Mar 2021 **Risk manager recommends rejecting bridge loan**

The responsible risk manager identified business model risks. A senior manager overruled the recommendation. (1)

1 Mar 2021 **Subscriptions and redemptions suspended**

The boards suspended dealing because a substantial part of the assets could not be valued reliably. (2)

4 Mar 2021 **Four funds terminated and placed into liquidation**

The boards terminated the funds and began liquidation. Investor focus shifted from yield to recovery. (2)

Sources: FINMA findings (1); Credit Suisse 2021 Annual Report (2).

Each signal should have produced a defined control response. The 2018 external fund closure required a documented read across to Credit Suisse's own portfolios. Repeated media and regulatory questions required independent fact testing before any response was issued. The bridge loan warning required escalation of the underlying business model concerns to the fund boards and risk committees. By 1 March 2021, valuation uncertainty had become severe enough to suspend dealing; on 4 March, the boards terminated the funds and began liquidation. (1) (2)

The governance failure was absorption without escalation. Warnings entered the organisation, but they did not produce sufficient structural change. A serious process would have converted repeated signals into claim testing, exposure reduction, revised disclosure, independent review, suspension of new purchases, or earlier termination and liquidation.

Independence Inside the Review Process

FINMA found that Credit Suisse used employees responsible for the Greensill business relationship to deal with critical questions and warnings. It also said Credit Suisse repeatedly asked Lex Greensill himself and relied on his answers for its own statements. That structure weakened the review before any document was examined. (1)

GOVERNANCE FAILURE · FINMA FINDINGS

Where independent challenge should have existed, and did not

- **The relationship team answered the critical questions.** Employees responsible for the Greensill business relationship were used to respond to critical questions and warnings about it.
- **The originator's own answers became the manager's evidence.** Credit Suisse repeatedly asked Lex Greensill himself and relied on his answers for its own statements.
- **Statements to the regulator were partly false and overly positive.** FINMA said this applied to claims selection process and debtor exposure disclosures.
- **FINMA concluded a serious breach of supervisory duty.** It found serious deficiencies in organisational structures around identifying, limiting, and monitoring risk.

FINMA findings on Credit Suisse's supervision of the Greensill-linked supply chain finance funds.

A relationship team has incentives that differ from an independent control function. The relationship team may understand the client well, but it is also invested in keeping the relationship alive. When the same people defending the relationship also answer questions about its weaknesses, the review can become confirmation rather than challenge.

The facts needed to come from outside Greensill. Independent analysts should have contacted debtors, reviewed buyer acknowledgments, checked insurer records, tested payment histories, and examined exception reports. Independence matters because it prevents the originator's explanation from becoming the manager's evidence.

The Records That Should Have Carried the Review

A receivables fund review starts with the holding and traces backward. The reviewer should be able to move from fund position to security, from security to claim pool, from claim pool to receivable, and from receivable to invoice, buyer obligation, supplier record, payment history, and insurance status. Each step should have documents that can be tested independently.

ODD FRAMEWORK · THE CORE RECORD SET

What a claim-level review traces, step by step

1. **Fund position → security.** Which securities does the fund hold, and what claim pools do they represent?
2. **Claim pool → receivable → invoice.** Invoices, purchase orders, and buyer acknowledgments that connect financing to delivered goods or services.
3. **Debtor confirmation and payment history.** Supplier records, debtor confirmations, aging reports, and exception logs that show whether exceptions are isolated or systematic.
4. **Insurance and eligibility.** Policies, covered obligors, exclusions, concentration limits, eligibility files, and concentration reports – tested, not summarised.
5. **Future receivables, reviewed separately.** What obligation exists today, what commercial assumption supports the future claim, and who bears loss if the future sales do not occur.

The core record set includes invoices, purchase orders, buyer acknowledgments, debtor confirmations, supplier records, payment history, insurance policies, securitisation documents, eligibility files, concentration reports, exception logs, and aging reports.

The core record set includes invoices, purchase orders, buyer acknowledgments, debtor confirmations, supplier records, payment history, insurance policies, securitisation documents, eligibility files, concentration reports, exception logs, and aging reports. These records show whether the fund owns what it says it owns. They also show whether exceptions are isolated or systematic.

Future receivables require an additional review. The reviewer must ask what obligation exists today, what commercial assumption supports the future claim, who bears loss if the future sales do not occur, and whether the expected buyer relationship is real enough to support valuation. Those questions cannot be answered from fund level summaries. They require direct access to contracts, customers, borrower finances, and the assumptions used to convert future activity into present fund exposure.

Conclusion: How the Story Ended

The four Credit Suisse funds entered liquidation in March 2021. Greensill Capital (UK) Limited entered administration on 8 March with liabilities later reported at more than GBP 1.6 billion. The Australian parent entered administration the next day and liquidation in April; other group companies subsequently entered liquidation. (5)

FINMA later found that Credit Suisse had seriously breached its duties to identify, limit, and monitor risk. It ordered governance and risk management reforms and opened proceedings against four former managers. (1)

Lex Greensill did not receive a prison sentence or criminal fine in the outcome documented here. In June 2026, he agreed to a nine year United Kingdom director disqualification lasting until June 2035. The action concerned Katerra transactions that removed legal protections from a Credit Suisse fund investment and the use of USD 440 million for purposes other than repaying the fund. (5)

The sequence ended in fund liquidation, corporate insolvency, regulatory enforcement, prolonged recovery work, and a director ban. Claim level proof, direct debtor evidence, independent insurance verification, and documented escalation were the controls that should have interrupted it.

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